These were his transactions for January:

Date	Description	Amount	Type	Balance
01/01/2023	**Starting Balance**			**$1,600.00**
01/01/2023	**Rent for January**	$800.00	**Debit**	**$800.00**
01/05/2023	**Groceries**	$100.00	Debit	**$700.00**
01/15/2023	**Part-time paycheck**	**$500.00**	**Credit**	**$1,200.00**
01/20/2023	**Gas for car**	$50.00	Debit	**$850.00**
01/30/2023	**Textbooks**	$150.00	Debit	**$650.00**

This ledger shows that Jaime's starting balance on his checking account on January 1st was $1,600, out of which he spent $800 to pay rent for the month. He then spent (a **debit**) $100.00 on groceries and received $500.00 (a **credit**) in pay from his part-time job, bringing his balance to $1200.00. He then spent money on gas and textbooks, bringing his balance down to $650.00 at the end of the month.

Twelve months later, while having lunch with his grandfather, Jaime notices that his budget is not stretching as far as it used to. He realizes that the prices of the goods and services he needs have increased significantly over the past year, and wondered why. Then he saw this image and could not believe his eyes.

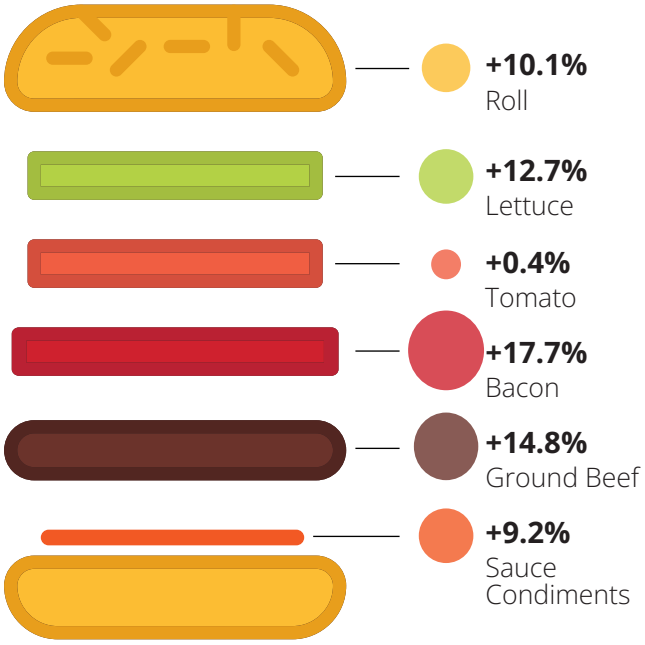
When he brought it up to his grandfather, he was told: "In 1956, I was just a young man starting out in the world. I remember that I used to earn $100 a month as a factory worker. It may not seem like much by today's standards, but it was a decent wage at the time. In fact, I was able to save up enough money to buy a small house in the suburbs."

As we can see, the cost of each item in the **basket** has increased, leading to an overall decrease in his purchasing power.

Thankfully, Jaime has mastered the use of a ledger, for it clearly showed him how his annual purchasing power has decreased.

How Inflation Changed the Price of a Hamburger

Year-over-year change in the price of selected ingredients of a hamburger (April 2021 – April 2022)



** Based on retail prices, urban consumers.*